Note 6. INCOME TAXES

The provision for income taxes for the fiscal quarters ended December 31, 2006 and 2005 were as follows below. A valuation account has been set up in the amount of the deferred asset.

Quarter ended June 30,	2007	2006
Provision for income taxes:		
Current taxes payable	$ 0	$ 0
Change in the deferred tax asset (net of the valuation account)	0	0
Total	$ 0	$ 0